STRATEGY OVERVIEW · NQ / MNQ

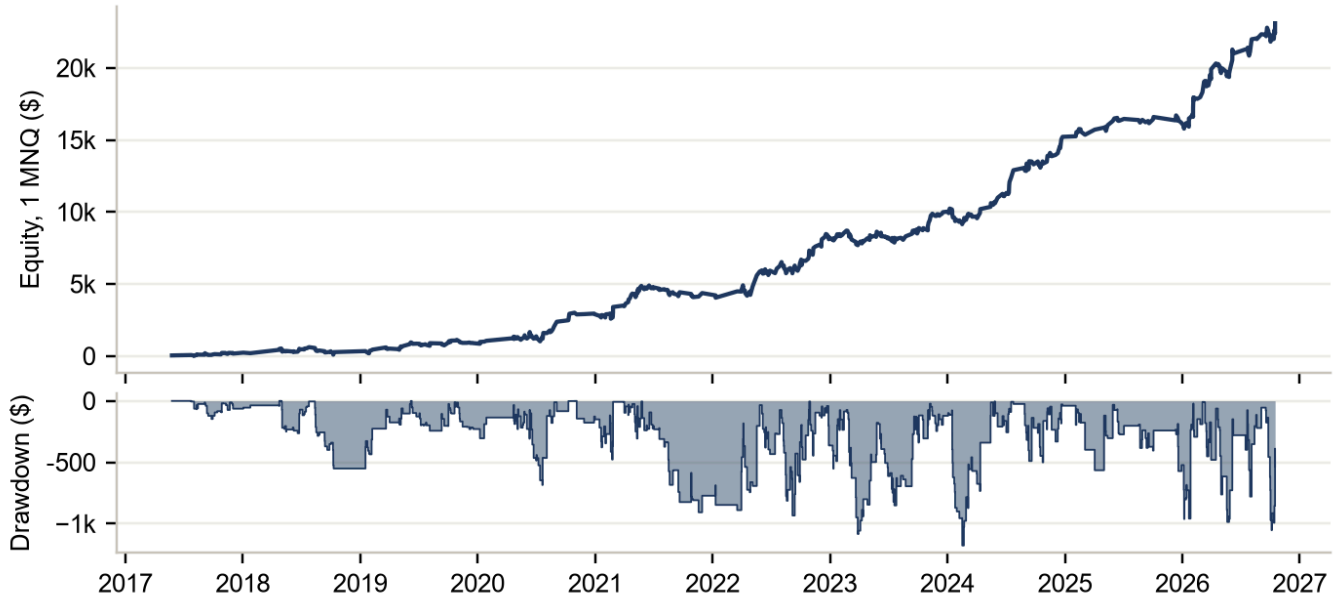
OB v2 — Overnight Bias ORB with an ATR regime filter

E-mini Nasdaq-100 · 15-minute bars · Chicago time · long or short, up to 4 trades a day · entries 08:45–12:00 CT · flat at 14:30 CT · based on The Bridge's OvernightBias ORB signal

Net, 1 MNQ	Profit factor	Trades a year	Win rate	Max drawdown	Robustness grade
$23,094	1.75	64	52.2%	$1,178	S

MultiCharts backtest, 2017-05-25 → 2026-10-16, 603 trades, costs included, 1 MNQ (×10 = 1 NQ). Max drawdown counts closed equity plus each trade's worst open loss. Closed-trade drawdown $1,088. Nothing is held overnight.

Equity path and drawdown



Worst drawdowns (including open-trade loss)

Depth, 1 MNQ	Peak	Low	Recovered	Days
$1,178.25	2024-01-08	2024-02-16	2024-05-14	127
$1,085.25	2023-02-21	2023-03-29	2023-09-21	212
$1,053.75	2026-09-21	2026-10-05	2026-10-16	25
$986.75	2026-04-15	2026-05-20	2026-06-05	50

Now $0.00 from the peak.

By year

Year	Trades	1 MNQ	1 NQ
2017	31	$166.00	$1,660
2018	44	$103.00	$1,030
2019	57	$626.00	$6,260
2020	49	$1,997.00	$19,970
2021	71	$1,477.00	$14,770
2022	72	$3,854.00	$38,540
2023	90	$1,763.00	$17,630
2024	80	$5,227.00	$52,270
2025	37	$965.00	$9,650
2026	72	$6,916.50	$69,165

2017 from 2017-05-25; 2026 to 2026-10-16. Positive years 10 of 10.

The trade story

Where NQ opens inside its overnight range shows which side the night favoured. An open in the top third of the overnight range allows only longs that day, an open in the bottom third only shorts, and anything in between is a no-trade day. After the first 15 minutes, the strategy takes the first 15-minute close beyond that opening range in

the allowed direction, but only when the market is trending (ADX) and the breakout bar is not an exhaustion bar. Stop and target scale with daily volatility. **v2** adds one condition: recent volatility must be in a normal range compared with the last 100 days, which skips the most unusual markets.

Rules

Day's direction	Open at 08:30 CT inside the overnight range (midnight → 08:30 CT; the date change resets it): top third (≥ 0.67) = longs only, bottom third (≤ 0.33) = shorts only, otherwise no trade.
Opening range	08:30–08:45 CT high and low. Day skipped if that range is more than 2 × its recent (20-day) average.
Entry	First 15-minute close beyond the opening range in the allowed direction, 08:45–12:00 CT, with ADX(16) ≥ 20 and the bar's range ≤ 2.5 × the average of the prior 20 bars; market order on the next bar. One position at a time, up to 4 trades a day.
Exits	Stop 0.30 × ATR from the signal close, where ATR = the 15-day average true range of the 08:30–15:00 session; target 3 × the stop; market exit at 14:30 CT.
v2 regime filter	**Trade only when that 15-day ATR ÷ the 100-day ATR is between 0.6 and 1.2.**

Why it should work

The open's position in the overnight range reads which side carried inventory into the US session; the breakout trades with it. There is no published effect size for this rule.

- **Every year positive** in the backtest above (10 of 10).
- **The filter is a drawdown filter:** on 2023 → 2026-10-01 it cut the worst closed drawdown from $1,855.50 to $1,201 for about 5% less profit (PF 1.91–1.94 vs about 1.62), and lookbacks of 80, 100 and 120 days gave the same drawdown.
- **Data source matters:** the same original signal made $17,016 on The Bridge's data vs $13,823.50 on dxFeed over 2023-01-25 → 2026-07-01. The two feeds' bars differ in timing around some entries and exits; the full cause is not settled.

Risks and caveats

- **How the filter was found:** on 2017–2022, a 1.5 cap was best with a 100-day lookback and 1.2 with a 50-day one; a lower limit under 0.6 changes nothing. On 2023–26, with the 1.2 cap, lookbacks of 80, 100 and 120 days all gave the same worst drawdown ($1,201 vs $1,855.50 for the original) and PF about 1.92 vs 1.62, for about $600–700 less profit; 50, 60 and 150 days were clearly worse. 100 days sits in the middle of that plateau.
- **What it does:** it skips volatility-expansion days. Those days paid in 2017–2022, so there the filter made less than the original ($8,223 vs about $11,019.50) with a much smaller drawdown ($985 vs $1,857.50); in 2023–26 they cost money, mostly in 2025. It is kept for the drawdown cut, not for profit.
- **Clean test:** 2023–26 was part of the lookback comparison, so live results are the clean test.
- **Concentrated:** 2024 and 2026 make 53% of the net.
- **Warm-up:** it takes no trade until 100 sessions of history exist.

Robustness grade S

Split at 2023-01-01, 1 MNQ	2017–2022	2023 →
Trades	324	279
Expected value per trade	$25.38	$53.30
Kept in 2023 →	210% of the 2017–2022 edge · P(edge ≤ 0) = 0.0001	
2023 → net / max drawdown	$14,872 / $1,088 (closed) · return ÷ drawdown 13.67	
Monte-Carlo max drawdown	median $1,534 · 75th $1,856 · 95th $2,495 · 99th $3,125	

Graded 2026-10-17 on this export. 2023 → was viewed while comparing filter lookbacks, so read that column as a check, not a blind test. Expected value from a 10,000-draw bootstrap; drawdowns from a 20,000-path Monte Carlo of the trade sequence (closed equity).

Tried and rejected — do not repeat

When	Tried	Result (1 MNQ, 2017–2022 unless noted)	Verdict
2026-10-06	Intraday ATR stop, trailing stop, 5R target (four changes at once)	525 trades, $8,031, PF 1.36, drawdown $1,930	Trail rejected
2026-10-06	Skip breakouts that close too far beyond the range (cap 0.05–1.00 × ATR)	No cap beats no cap: best $10,100–$10,400 vs $11,019.50	Rejected
2026-10-06	Other target multiples	About the same or worse (report not kept)	Target 3 kept
2026-10-06	Regime filter with 50, 60 or 150-day lookbacks (2023 → 2026-10-01)	−$1,737, −$1,595, −$4,268 vs the original; 80–120 days only about −$600 to −$700	100 days kept

Kill test — what would prove it wrong

Watch	From the data	Warning sign
Drawdown	Worst so far $1,178 (incl. open loss); Monte-Carlo 75th percentile $1,856 (closed equity)	Beyond the 75th percentile.
Win rate	52.2%; it needs 38.6% to make money (average win $171.54, average loss −$107.81)	Win rate sliding toward 38.6%.
Trade count	≈ 64 a year	Materially more or fewer: setup drift.
The filter	Run the unfiltered signal alongside on a sim chart	v2 stops having the smaller drawdown.

Long 328 trades $13,908 · short 275 trades $9,186 · largest win $870.00, loss −$318.50 · positive months 72 of 114. Source: MultiCharts backtests; rules from the strategy code. Backtests, not account results. Prepared 2026-10-23.